a legislative amendment to allow the president to waive some sanctions, and by early 1999, the Europeans—led by France and Italy—were suggesting to Washington that the threshold for lifting sanctions should be reduced. The rejection of the CTBT by the US Senate forced Clinton to drop his hard-line position, and in October 1999, he spoke to Vajpayee about the possibility of visiting India. By the end of the month, Clinton waived most of the remaining sanctions on India, setting the stage for his ground-breaking visit to India in March 2000. [23]

India's relations with the European powers and Russia, who were already more sympathetic to New Delhi's position on nuclear matters, rebounded quickly. Japan—which had taken a much tougher line on India's nuclear tests as the only victim of nuclear bombings—also began to normalize relations with the visit to India of Prime Minister Yoshiro Mori in August 2000 and the announcement of an India–Japan 'Global Partnership'. [24] Another visitor to India in July that year was Australian Prime Minister John Howard. In hindsight, the year 2000 marked the beginning of efforts to resurrect relations between India and its future Quad partners: the United States, Japan and Australia.

The nuclear diplomacy that followed the 1998 tests was intertwined with the growing profile of the Indian economy. By the late 1990s, the initial liberalization efforts after 1991 were starting to have an effect. India's private sector was beginning to thrive, foreign investment began to pick up, and certain sectors saw more gradual reform over the course of the 1990s and early 2000s. For example, in civil aviation, initially only private Indian-owned 'air-taxis' were allowed, and then foreign investment by non-aviation businesses in domestic airlines, before international routes were opened to private airlines. Competition eventually proliferated, prices came down, and quality improved without the shock privatization of state-owned enterprises and large-scale job losses. Such incrementalism often proved more politically palatable than 'big bang' reforms. [25]

Perhaps the most far-reaching set of economic developments in the 1990s resulted from a combination of deliberate policy changes, prior conditions and plain luck. In 1985, the US-based advanced electronics company Texas